



STRATEGIC ANALYSIS & RECOMMENDATIONS REPORT: OLIST ECOSYSTEM

1. BUSINESS & SALES STRATEGY

• Capitalizing on Seasonal Peaks (Black Friday Synchronization)

Insight: Time-series analysis reveals a significant spike in Gross Merchandise Volume (GMV) during November 2017, pushing the platform's total GMV to \$1.61M across the analyzed period.

Recommendation: Begin campaign planning and review merchant supply chains during the third quarter to ensure operational capacity and system readiness to accommodate expected seasonal demand, thereby maximizing revenue capture and preventing infrastructure bottlenecks.

• Maximizing Average Order Value (AOV)

Insight: Since the average order value remains relatively stable at \$142.01, there is an untapped opportunity to increase cross-merchant purchasing and maximize the platform's 11K total orders.

Recommendation: Deploy algorithmic product bundling and cross-selling features at the checkout interface to increase average order value, improve basket size, and generate higher revenue per transaction.

• Credit & Financing Optimization

Insight: Transaction data indicates that a substantial portion of consumers rely heavily on credit options, with Credit Cards dominating payment types at 75.9% of total orders, and an average installment rate of 3.06.

Recommendation: Partner with financial institutions to optimize the installment checkout flow by introducing flexible financing promotions on high-margin product categories (such as health_beauty and bed_bath_table), aiming to lower purchase barriers for premium items and increase overall transaction volumes.



2. LOGISTICS & SUPPLY CHAIN OPERATIONS

• Freight Cost Restructuring & Weight-Based Optimization

Insight: The scatter plot confirms a clear correlation between product weight and shipping costs, with freight currently consuming an average of 16.66% of the product price (Freight Ratio).

Recommendation: Negotiate tiered, flat-rate contracts with alternative logistical carriers for high-weight categories to reduce freight costs, which can improve both seller profitability and customer conversion rates.

• Regional Fulfillment Centers for High-Risk Zones

Insight: Geospatial analysis isolates specific distant states showing elevated SLA Breach Rates, contributing to a platform-wide SLA Breach Rate of 6.77%.

Recommendation: Transition toward a hybrid fulfillment model by establishing regional fulfillment centers near high-demand or high-delay geographic clusters to store frequently purchased products, thereby reducing transit times and mitigating inter-state delivery delays.

• Predictive Delivery Estimation Model

Insight: Discrepancies between estimated and actual delivery days negatively impact customer expectations, with the current average delivery time standing at 12.02 days.

Recommendation: Develop a predictive delivery estimation model using historical delivery performance and regional logistics data to improve delivery accuracy, reduce customer uncertainty, and increase customer satisfaction.



3. CUSTOMER EXPERIENCE & SELLER GOVERNANCE

• Performance-Linked Seller Governance

Insight: Delivery analysis indicates that shipping delays are closely tied to lower review scores, as average delivery days drop consistently from around 18 days for a 1-star review to roughly 10 days for a 5-star review across the 3K active sellers.

Recommendation: Implement a structured seller governance framework where merchants with repeated SLA violations face performance improvement measures, reduced visibility, or contractual penalties, helping to improve marketplace quality while encouraging high-performing sellers through transparent incentives.

Proactive Customer Notification System

Insight: Text analytics of customer feedback highlights that delivery updates are primary drivers of sentiment, with core fulfillment terms like "produto" (product), "bom" (good), and "Chegou" (arrived) dominating the word cloud.

Recommendation: Establish automated customer notifications across preferred communication channels to provide proactive milestone tracking based on these critical events, which aims to reduce customer anxiety, minimize customer support ticket volume, and improve the overall review score.

• Review-Driven Quality Control

Insight: Customer satisfaction metrics show that the current average review score stands at 4.08, while the negative review rate is held at 0.13, leaving room for targeted quality interventions.

Recommendation: Implement an automated quality control flagging system for products consistently receiving reviews below three stars to trigger mandatory merchant reviews, ensuring the marketplace remains clear of substandard goods and protecting brand reputation.